

potential loss is unlimited—making short sales unacceptably speculative for most individual investors.

[†] In the late 1980s, as hostile corporate takeovers and leveraged buyouts multiplied, Wall Street set up institutional arbitrage desks to profit from any errors in pricing these complex deals. They became so good at it that the easy profits disappeared and many of these desks have been closed down. Although Graham does discuss it again (see pp. 174–175), this sort of trading is no longer feasible or appropriate for most people, since only multimillion-dollar trades are large enough to generate worthwhile profits. Wealthy individuals and institutions can utilize this strategy through hedge funds that specialize in merger or “event” arbitrage.

^{*} The Rothschild family, led by Nathan Mayer Rothschild, was the dominant power in European investment banking and brokerage in the nineteenth century. For a brilliant history, see Niall Ferguson, *The House of Rothschild: Money’s Prophets, 1798–1848* (Viking, 1998).

¹ Graham goes even further, fleshing out each of the key terms in his definition: “thorough analysis” means “the study of the facts in the light of established standards of safety and value” while “safety of principal” signifies “protection against loss under all normal or reasonably likely conditions or variations” and “adequate” (or “satisfactory”) return refers to “any rate or amount of return, however low, which the investor is willing to accept, provided he acts with reasonable intelligence.” (*Security Analysis*, 1934 ed., pp. 55–56).

² *Security Analysis*, 1934 ed., p. 310.

³ As Graham advised in an interview, “Ask yourself: If there was no market for these shares, would I be willing to have an investment in this company on these terms?” (*Forbes*, January 1, 1972, p. 90.)

⁴ Source: Steve Galbraith, Sanford C. Bernstein & Co. research report, January 10, 2000. The stocks in this table had an average return of 1196.4% in 1999. They lost an average of 79.1% in 2000, 35.5% in 2001, and 44.5% in 2002—destroying all the gains of 1999, and then some.

⁵ Instead of stargazing, Streisand should have been channeling Graham. The intelligent investor never dumps a stock purely because its share price has fallen; she always asks first whether the value of the company’s underlying businesses has changed.

⁶ Just 12 months later, Juno’s shares had shriveled to \$1.093.

⁷ A ticker symbol is an abbreviation, usually one to four letters long, of a company’s name used as shorthand to identify a stock for trading purposes.